BANK OF ENGLAND

Speech

Alice in Euroland

Speech given by

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ALICE IN EUROLAND[1]

Introduction

Economic and Monetary Union has arrived *de facto*. While it will not start *de iure* until January 1, 1999, the co-ordinated rate cut by all Euroland central banks on 3 December 1998, was truly the first monetary policy decision of the ECB. The UK, true to its tradition of joining new European institutional developments late and reluctantly, will not participate in EMU until further notice.

The launch of EMU is a global political and economic event of the first order. Love it or hate it, it will profoundly affect the lives of all those in Euroland, on the fringes of Euroland and in the world at large.

The adoption of a common currency by 11 of the 15 EU members is an act without precedent. While there are some analogies with the creation of a German monetary union in the 19th century, with the Latin Monetary Union and indeed with the pre-World War I Gold Standard, the differences far outweigh the similarities.

The common currency will have important technical, economic consequences for both participants and outsiders. First and foremost, however, EMU is a major step on the road to 'ever closer union' in Europe. It represents the opening of a new chapter in the European federalists' agenda, a significant transfer of national sovereignty to a supra-national institution. The federal European super state, however, is still quite some distance away. Not only is the EU, or even Euroland, not a federal structure, it is not even a confederacy . Calling it a proto-confederal structure would probably be as close as one could get.

While few if any technical economic implications for further European co-ordination, Cooperation, harmonisation and institutional development follow from the act of monetary union, the political imperatives will give momentum to a whole range of such developments. For example, the European Parliament, the body charged with the political oversight of the ECB, will, for the first time, get a major role in supervising a body with an important executive responsibility. I expect that the European Parliament will sharpen its teeth on this oversight function, that it will like the sensation of being involved in true Parliamentary oversight, and that it will use the leverage acquired this way to extend its power throughout the domain of European supranational competence.

[1] Ian Begg has drawn my attention to a paper by Klaus Gretschmann with a similar title to mine: "European Monetary Union; Alice in Wonderland or Malice in Blunderland? (Gretschmann [1991])

[*] The opinions expressed are those of the author alone. They do not necessarily represent the views and opinions of the Bank of England or of the other members of the Monetary Policy Committee.